

The First-Time Homebuyer Playbook

@saifintechtalks

The checklist and lessons I wish I had before buying my first home. This guide will help you determine whether you're financially ready, understand what lenders actually look for, and avoid common mistakes.

Can You Buy a Home Right Now?

Most people assume they are years away from homeownership without ever checking. Before you decide, evaluate your credit, income, savings, debt, and emergency fund.

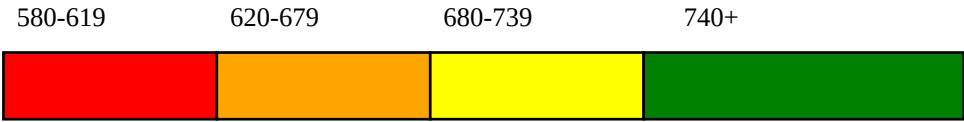
✓	Know my credit score
✓	Stable income for at least 2 years
✓	Have savings for down payment
✓	Emergency fund available
✓	Monthly debts manageable

The Biggest Home Buying Myths

Myth	Reality
Need 20% down	Many buyers purchase with 3%-5% down
Need perfect credit	Many programs allow lower scores
Must be debt free	Most homeowners carry some debt

These myths stop thousands of potential buyers from even exploring their options. Understanding the facts can help you create a realistic plan.

Credit Score Guide



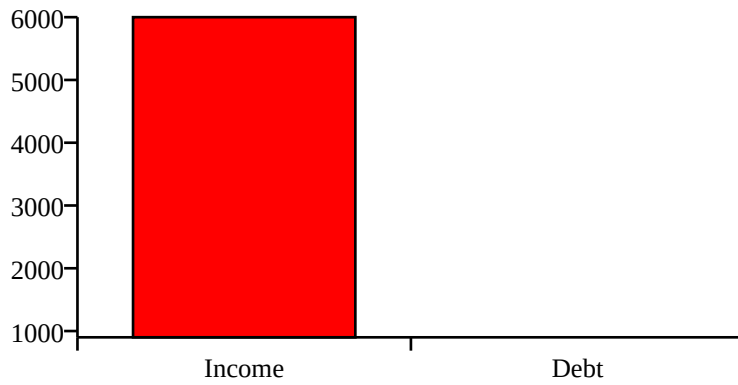
A higher score generally means better rates. However, many buyers qualify before reaching 740+. Focus on paying bills on time, reducing credit card utilization, and avoiding unnecessary debt.

Down Payment Examples

Home Price	3%	5%	10%
\$300,000	\$9,000	\$15,000	\$30,000
\$400,000	\$12,000	\$20,000	\$40,000
\$500,000	\$15,000	\$25,000	\$50,000

Many buyers delay homeownership because they believe they need 20% down. Depending on the loan program, significantly lower down payments may be possible.

Understanding Debt-to-Income Ratio



Debt-to-Income Ratio (DTI) is one of the most important factors lenders review. Example: Income = \$6,000/month, Debt = \$900/month, DTI = 15%. Lower ratios generally improve approval odds.

Hidden Costs of Homeownership

Expense	Why It Matters
Property Taxes	Can add hundreds per month
Insurance	Required by most lenders
HOA Fees	Varies by neighborhood
Maintenance	Budget around 1% of home value annually
Utilities	Often higher than expected

The mortgage payment is only one part of homeownership. Unexpected repairs and maintenance are inevitable, so plan accordingly.

Home Buying Timeline

1. Check your credit
2. Build savings
3. Get pre-approved
4. Tour homes
5. Submit an offer
6. Complete inspection
7. Finalize financing
8. Close on the property
9. Move in

Knowing the process ahead of time reduces stress and helps you make informed decisions.

Documents You'll Need

Document	Purpose
Pay Stubs	Verify income
Tax Returns	Review earnings history
Bank Statements	Verify assets
W-2 Forms	Employment verification
Photo ID	Identity verification

Emergency Fund

One of the biggest mistakes first-time buyers make is spending every dollar on the down payment. Aim to keep at least 3 months of expenses available after closing. Six months is even better. Water heaters, HVAC systems, roofs, and appliances eventually need attention.

Lessons From My First Home Purchase

- Do not buy at the maximum amount a lender approves.
- Keep cash after closing.
- Shop multiple lenders.
- Budget for repairs immediately.
- Think long term rather than focusing only on the monthly payment.

The goal is not simply to buy a home. The goal is to buy a home that fits your finances and lifestyle comfortably.

First-Time Homebuyer Readiness Checklist

- Know my credit score
- Have a down payment plan
- Have emergency savings
- Reviewed my debt-to-income ratio
- Gathered required documents
- Understand my monthly budget
- Have a long-term homeownership plan

Follow @saifintechtalks

Home Buying • Personal Finance • Investing • Wealth Building